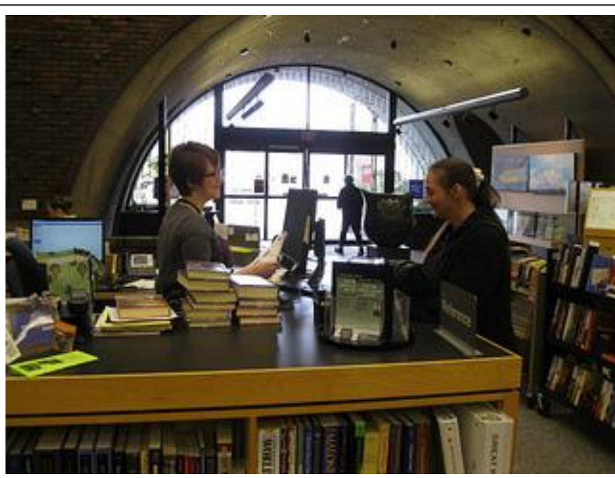
Timberland Regional Library
2014 Final Budget



12/18/2013

2014 Final Budget

All Funds

Prepared by Timberland Regional Library
415 Tumwater Blvd SW
Tumwater, WA 98501

INFORMATION AND RESOURCES

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Tim Mallory, Reference and Adult Services Coordinator

ACKNOWLEDGEMENTS:

The Board of Trustees wishes to acknowledge the many individuals who contributed time and expertise to the preparation and publication of the 2014 Budget. The annual budget is an important responsibility f local government and was developed in compliance with Washington State Law.

BUDGET DEVELOPMENT

Timberland Regional Library's 2014 budget is designed to provide an understanding of TRL's plan to provide for annual services, resources and programs. The purpose of TRL's budget, background information, and disclosure of several assumptions are presented to make the budget document a more meaningful and useful guide to TRL's 2014 library services planning and policy goals.

INTRODUCTION

This section contains information to orient the reader on the 2014 Budget. Included are major budget issues, recommendations, highlights of major changes from the prior year budget, and the budget process for 2014.

- A Budget Message
- Budget Priorities
- TRL's Mission and Vision Statements
- A description of the annual budget process
- Timeline of past major events

POLICIES/GUIDELINES

This section contains an overview of budgeting and financial policies and principles that are used to evaluate the budget targets and to determine if the library is meeting planning and policy goals for programs and services as well as finances.

- 2013 Projected Revenues, Expenditures and Fund Balances
- 2014 Budget Condensed Budget
- Three-year projections
- Library's Financial Policies for review

REVENUE/EXPENDITURES/FUND BALANCE

This section contains a more detailed overview of revenue, expenditure, and fund balance sources and associated assumptions. This section also contains historical trends that support TRL's operational estimates and provides an explanation of the Library's property tax system and a summary of TRL's property tax revenues and assessment valuation.

Introduction

Budget Message

We are pleased to present the 2014 Timberland Regional Library budget as a balanced and affordable plan that includes strong commitment to our communities and patrons. It represents a tradition of high service standards, the passionate promotion of literacy, and deep, broad community engagement effort that continuously identifies and strengthens a variety of strategic partnerships. It communicates an ongoing effort to provide essential public library services that contribute to the quality of life in all TRL communities.

While the proposed budget is balanced and affordable, structural problems persist with maintaining core service levels and still having an ability to strategically invest into the future. Over the last year opportunities were evaluated against available resources and priorities and tough decisions were made. Expenditures were managed in an aggressive manner. In the midst of a recession that lasted longer and cut deeper than anyone could anticipate, adding to services, or expanding, was considered only in terms of what must be cut: the tradeoff. There was also a parallel effort of long-term strategic planning taking place.

We have learned a great deal from the economic downturn and phenomenal changes in technology over the last few years. Sustainability and adaptability are key factors in our progress and we have been charged to build a bridge to a more effective TRL in the future. Being attuned to the needs, desires, and preferences of our various communities is also important. These are the goals that were learned from the past and form the foundation of the current and future budgets.

This has been a time of new beginnings at Timberland Regional Library. There has been renewed attention to finding the connection between increasing awareness, interest, and usage of the wide range of TRL services offered by its libraries and the impacts delivered on long-term strategic objectives: strengthening families and youth, supporting local economies, and strengthening community engagement. Few organizations are in a position to make an impact in their communities as broadly as libraries can.

TRL utilizes priority based budgeting: determining how much revenue is available, identifying the most important priorities, and allocating resources to those priorities. The 2014 Budget Priorities were developed with an understanding that resources need to be in alignment with long-term strategies. As TRL is in the process of finalizing its 2014 Strategic Plan, services and budget planning will proceed in coordination with strategic planning priorities and objectives, and ultimately will influence the allocation of resources. This is a response from the Board of Trustee’s 2014 budget priorities and forms the basis of the budget.

2014 Budget Priorities with Related Initiatives

- A theme continued into 2014, "Stronger Communities: Building Our Future"
    - Highlight current services/resources through programs, resources, advertising, and outreach.
        - Jobs and Careers
        - Your Money
        - Business Know How
        - Education/Early Learning
    - $25,000 for the tenth year of Timberland Reads Together.
    - $7,000 for Family Read and Sing Aloud branch programming, March through April.
    - $2,700 for Book Babies Project: Youth Services planning team will identify 15 picture book titles that staff will use in Book Babies story time.
    - $5,000 for Teen author visits.

- Training: Staff Development and User Orientation
    - $118,865 Training Budget towards TRL's most important resource: staff (an increase of $2,954 over the 2013 Budget).

- Collection of Materials
    - e-Reader devices. 50 Nooks with downloaded e-books to be leased and managed by Barnes and Noble within Books and Materials budget.
    - Hoopla! Online access to a large selection of movies, television shows, educational/instructional videos, documentaries, music and audio books via smartphone, tablet or computer.
    - Continue to offer leased materials to meet demand for popular titles to be managed within Books and Materials budget, $45,000.
    - Zinio: online access to digital magazines.

- Marketing Campaigns
    - $7,000 for additional newspaper/radio ads.
    - $10,000 to install full vehicle graphics wrap on vehicles.

- Outreach

- Use more "Programs in a Box" and "People Teaching People"

- Adjust Open Hours
    - Broader evaluation of staffing in conjunction with community needs to be considered as part of an evaluation of open hours for 2014.
- Beyond 2014 Priorities
    - 10-20 Year Facilities Plan
    - Vision of the Library in the Future
    - Space Planning/Remodeling for Future Uses

General Fund Overview

The General Fund operating budget, which is used to plan and carry out the normal operations and maintenance services of TRL not accounted for in other funds, is $21,593,467 for 2014 before transfers and other non-expenditures, an increase of $417,831 over last year. General Fund projected expenditures, comprising the basic cost elements for essential library services, are up 2.4% over the 2013 Budget. General Fund projected revenues for 2014 are anticipated to increase 1.97%. In order to balance current projected expenditures to current projected revenues, $129,783 will need to come from existing reserves.

Timberland Regional Library's two biggest cost drivers are always salaries and wages, 70.43% of operating expenditures, and books and materials, 15.84% of operating expenditures.

Many thanks to all staff who completed the LiveWell incentive program. TRL exceeded the goal of 40% participation and all employees enrolled in medical coverage will receive the 4% premium discount.

How did we balance the budget for 2014? Revenues are growing at a steady, dependable pace but expenditure growth is down this year due to changes in personnel. Four changes in library manager positions contributed to a savings of over $101,000 alone. Some changes were due to retirement and a lag in filling vacant positions. Also, this is the first year since 2010 that PERS rates are not scheduled to increase.

Building Fund Overview

Timberland Regional Library maintains a Building Fund to pay for building or remodeling and maintenance of TRL owned library facilities and for assistance with the design and planning of new or remodeled city-owned library facilities.

The 2014 Building Fund Budget continues to move us towards implementation of a long-term funding strategy. Consideration for space planning for the future library service model will begin in addition to the continued use of the Service Points Analysis for a full and equitable method to evaluate and prioritize requests for change to our service points.

Timberland Regional Library recognizes the need to financially partner with cities for new, enlarged and remodeled library facilities and will review policy options more fully in 2014. The overall expenditure level in 2014 is anticipated to be $590,000, see page 28.

Automated Circulation Fund Overview

Timberland Regional Library maintains an Automated Circulation Fund for the purchase and implementation of the library's integrated library system (ILS), major purchases of computer network and telecommunications equipment.

The last major initiatives within this fund were the upgrade of the ILS in 2010 and upgrade to the telecommunication systems of 2010 and 2011. Included for 2014 is the purchase of Windows 8 licenses to start upgrading staff and public computers and the purchase of additional laptops/tablets. The overall expenditure level is anticipated to be $196,481.41, see page 29.

Unemployment Compensation Fund Overview

Timberland Regional Library maintains the Unemployment Compensation Fund for compensation payments in a self-insurance program. The overall expenditure level is anticipated to be $18,000.

Gift Fund Overview

Timberland Regional Library uses the Gift Fund to track receipts and disbursements for restricted gifts and bequests to TRL libraries.

Conclusion

The budget is balanced and affordable, it includes increased investments in library services, families and youth, and the many communities served by TRL. Difficult decisions were made and many difficult decisions remain. Being a good steward for taxpayer money means knowing when to make adjustments and when to be adaptable to changes in the environment that produce positive, long-term impacts for our communities.

Priority based budgeting allows for strategy within a context of overall long-term strategic planning. The over-arching goal of the 2014 Budget is to shape the highest priority for services as determined by public and staff input, within the limits of available resources, and with an eye on the future for long-term planning needs - and all with a purpose of remaining sustainable.

TRL MISSION STATEMENT

Timberland Regional Library provides:
Information, Resources, Services, and Places
Where all people are free to:
Read, Learn, Connect, and Grow

TRL VISION STATEMENT

For every reader, the best book
For every question, the best answer
For every need, the best resource
For every encounter, the best experience
For every library dollar, the best value
For every person, a place to belong

Approved by the TRL Board of Trustees, March 23, 2005

ANNUAL BUDGET PROCESS

The annual budget process involves teamwork and cooperation among many groups, including our communities, the Board of Trustees, our cities, our bargaining units, the Board Budget and Facilities Committees and staff. The annual operating budget is prepared on a calendar year basis and consists of the six distinct phases as follows:

1. PLANNING: The Budget Committee provides guidance to direct Departments in developing their budgets for the coming year – what the constraints are and what priorities to focus on.
2. DEVELOPMENT AND PREPARATION: The Departments develop and submit their budget requests to be reviewed and prioritized. The submitted requests are balanced against projected revenues and expenses as the Preliminary Budget is developed.
3. REVIEW AND ADOPTION: The Board of Trustees reviews the draft Final Budget, seeks input from the public, makes budget adjustments and then adopts the Final Budget for the next calendar year.
4. IMPLEMENTATION: Programs financed by the approved budget are carried out. The budget year is on a calendar year, January 1 through December 31, 2013. Appropriations lapse at year end.
5. MONITORINIG: Expenditures are monitored by the Director and the Administration team throughout the year to ensure that funds are used in an approved manner. Monthly detailed budget reports are available to department managers who are responsible for monitoring expenditures paid from each line item. These reports indicate approved budgets for each line item and department/program/line of business as well as expenditures to-date.
6. EVALUATION: Audits are conducted and annual financial reports are produced.

2014 OPERATING BUDGET CALENDAR OF EVENTS

Discussed Budget Priorities and Reviewed External Factors	June 26, 2013
Budget Workshop	September 25, 2013
Public Hearing on draft Final Budgets	November 20, 2013
Adopt the Final Budgets	December 18, 2013

TRL Timeline, 2005 to current

- Jan. 2005, Operating Fund Bal. $6,748,632.
- Jan. 2006, Operating Fund Bal. $7,952,211.
- Dec 2006; New WE Bldg.
- Jan 2007 Operating Fund Bal. $8,798,766.
- Jan. 2008, Operating Fund Bal. $7,839,908.
- Feb. 2009 Shelton Annexation vote passes 88.3%.
- Jun. 2009, Open hours reduced.
- Jan. 2009, Operating Fund Bal. $6,498,741.
- Oct. 2009, Library Fines Begin; and Jodi Reng retires.
- Jan. 2010, Operating Fund Bal. $6,732,23
- July 2010, Library Online for payment of fines over internet.
- Jan. 2011, Operating Fund Bal. $8,291,905
- Nov. 2011, Hoquiam annexation vote passes 72.77%
- Jan. 2012, Operating Fund Bal. $8,643,720.
- Jan 2013 Cheryl Heywood, Library Director.
- Jan. 2013, Op. Fund Bal. $9,479,960
- Jan. 2014, Op. Fund Proj. Bal. $8,247,764.

2005	2006	2007	2008	2009	2010	2011	2012	2013

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- Oct. 2005, Organizational Analysis Adopted; Recommendations include "restructure administrative services." Six administrative positions "RIF'd;" four administrative positions added; annual savings projected at $252,100.
- Feb. 2006; Rochester and SPSCC service points determined as kiosks.
- Feb. 2007; Classification Study Passed. $28,000 impact.
- May 2008; Aberdeen annexation vote passes 59%.
- July 2008; LID Lift Considered; Dir. Noted 6/12 top mgt positions eliminated.
- Sep. 2008; Sunday closures (saved $100,000), immediate hiring freeze, cut in substitute budget ($150,000); and one-time materials reduction ($367,000).
- Feb. 2009; LID Lift vote rejected 44%.
- July 2009; Community Services Manager Position eliminated; hiring freeze lifted; and all staff training day suspended.
- May 2010; Rainier kiosk open house.
- July 2010; Nisqually kiosk opens
- Sep 2010; Telephone upgrade $700,000 approved.
- Jan 2011; TRLF Director not funded.
- May 2012; Ocean Park Addition authorized at $700,000.
- Nov. 2012; Morton annexation vote passes 72.75%.
- Nov 2013; Toledo annexation vote passes 66 %.

Timberland Regional LIBRARY

Policies and Guidelines

Policies and Guidelines

Budget Adoption

TRL adopts a budget each year in accordance with RCW 27.12.210. TRL's fiscal year runs from January 1st to December 31st. The Library's budget provides insight for the fiscal year's expenditures and reflects the goals and priorities of the Board of Trustees.

TRL's budget is adopted at the fund level. Expenditures may not legally exceed appropriations at that level of detail. Appropriated budgets are adopted for the General Fund, Building and Site Acquisition and Improvement (Building) Fund, Automated Circulation Fund, and Unemployment Compensation Fund.

The budget is balanced. In the case of the General Fund budget, this means that expenditures are generally funded from current revenues. In instances where expenditures may be funded from fund balance (reserves), such funding is from fund balance amounts which exceed any operating reserve requirement established through the Fund Balance Management Policy.

Basis of Accounting

TRL reports financial activity using the revenue and expenditure classifications, statements and schedule contained in the Cash Basis Budgeting, Accounting and Reporting System (BARS) manual. This basis of accounting and reporting is another comprehensive basis of accounting (OCBOA) that is prescribed by the State Auditor's Office under the authority of Washington State law, Chapter 43.09 RCW.

Basis of accounting refers to when revenues and expenditures are recognized in the accounts and reported in the financial statements. Revenues are recognized only when cash is received and expenditures are recognized when paid.

Purchases of Capital assets are expensed during the year of acquisition. There is no capitalization of capital assets, nor allocation of depreciation expense. Inventory, including collection materials, is expensed when purchased.

Fund Accounting

The accounts of TRL are organized on the basis of funds, each of which is considered a separate accounting entity. Each fund is accounted for with a separate set of single-entry accounts that comprises cash, investments, revenues, and expenditures, as appropriate. TRL's resources are allocated to and accounted for in individual funds depending on their intended purpose.

TIMBERLAND REGIONAL LIBRARY

2013 ESTIMATED REVENUES, EXPENDITURES AND FUND BALANCES

Final - December 18, 2013 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	18,886,201	0	0	0	0	18,886,201
Other Revenues	2,429,618	109,670	3,631	983	45,000	2,588,902
Total Est. Revenues	21,315,818	109,670	3,631	983	45,000	21,475,102
Operating Transfers-In	0	1,700,000	300,000	20,000	0	2,020,000
Total Resources	21,315,818	1,809,670	303,631	20,983	45,000	23,495,102
ESTIMATED EXPENDITURES:						
Estimated Expenditures	20,584,449	368,503	110,000	4,500	28,000	21,095,452
Operating Transfer-Out	2,020,000	0	0	0	0	2,020,000
Ending Fund Balance	(1,288,631)	1,441,167	193,631	16,483	17,000	379,650
Total Uses	21,315,818	1,809,670	303,631	20,983	45,000	23,495,102
PROJECTED FUND BALANCES:						
Fund Balance 01/01/13	$9,536,395.08	$590,145.10	$551,850.52	$162,511.89	$1,000,236.00	$11,841,138.59
Fund Balance Use	(1,288,631)	0	0	0	0	(1,288,631)
Fund Balance Increase	0	1,441,167	193,631	16,483	17,000	1,668,281
Fund Balance 12/31/13	$8,247,764.08	$2,031,312.10	$745,481.52	$178,994.89	$1,017,236.00	$12,220,788.59

TIMBERLAND REGIONAL LIBRARY

CONDENSED ESTIMATED BUDGET

2013 Projection AND 2014 Estimated Preliminary Budget - GENERAL FUND

No delinquent taxes estimated.

	Projected 2013 Actual	2013 Budget	Final 2014 Budget	2014 % of Total Budget
ESTIMATED REVENUES:				
Beginning Fund Balance for Operations	0	0	0	NA
Property Taxes	$18,886,201	$18,900,000	$19,030,000	88%
City Contract Fees	86,198	102,236	109,417	1%
Timber Taxes and Sales	1,596,591	1,344,500	1,350,000	6%
Interest on Investments	50,869	57,500	45,000	0%
Fines	350,269	335,000	322,000	1%
Photocopy Fees	24,654	21,200	22,500	0%
Other Revenues	321,037	415,200	714,550	3%
TOTAL	$21,315,818	$21,175,636	$21,593,467	100%
	===========	===========	===========	==========
BUDGETED EXPENDITURES:				
Salaries and Benefits	$14,537,515	$14,848,651	$15,299,883	70%
Supplies	329,247	455,812	448,239	2%
Other Services and Charges	1,978,843	2,148,587	2,084,914	10%
Intergovernmental	816	1,000	1,200	0%
Capital Expenditures - Nonbooks	362,093	384,860	448,079	2%
Cap. Expend. - Books and Materials	3,375,935	3,375,935	3,440,935	15.8%
SUB-TOTAL (Operating Expend.)	20,584,449	21,214,846	21,723,250	100%
Operating Transfers-Out	2,020,000	2,020,000	450,000	==========
Ending Fund Bal (Future Reserves)	(1,288,630)	(2,059,210)	(579,783)	
TOTAL	$21,315,819	$21,175,636	$21,593,467	
	===========	===========	===========	
ESTIMATED BEGINNING FUND BALANCE:				
January 1	$9,536,395		8,247,764	
Rev. Over/(Under) Total Exp.	(1,288,630)		(579,783)	
December 31	8,247,765		7,667,981	
Less: Assigned Beginning Bal.	(7,794,702)			
Estimated Unassigned End Bal.	453,063			

TIMBERLAND REGIONAL LIBRARY

2014 Projectected Baseline REVENUES AND APPROPRIATIONS

Final - December 18, 2013 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	19,030,000	0	0	0	0	19,030,000
Other Revenues	2,563,467	6,000	3,600	980	45,000	2,619,047
Total Proj. Revenues	21,593,467	6,000	3,600	980	45,000	21,649,047
Operating Transfers-In	0	400,000	40,000	10,000	0	450,000
Total Resources	21,593,467	406,000	43,600	10,980	45,000	22,099,047
APPROPRIATIONS:						
Total Projected	21,723,250	590,000	196,481	18,000	45,000	22,572,731
Operating Transfer-Out	450,000	0	0	0	0	450,000
Intergovernmental	0	0	0	0	0	0
Reserve Increase (Dec)	(579,783)	(184,000)	(152,881)	(7,020)	0	(923,684)
Total Uses	21,593,467	406,000	43,600	10,980	45,000	22,099,047
Projected Fund Balances:						
Fund Balance 01/01/14	$ 8,247,764	$ 2,031,312	$ 745,482	$ 178,995	$1,017,236	$ 12,220,789
Reserve Increase (Dec)	(579,783)	(184,000)	(152,881)	(7,020)	0	(923,684)
Fund Balance 12/31/14	$ 7,667,982	$ 1,847,312	$ 592,601	$ 171,975	$ 1,017,236	$ 11,297,105

Timberland Regional Library
Projected Cash Flow Summary For the Years 2012-2016
December 18, 2013

Please note that these are estimates based on historical averages. Any assumption regarding negotiations is not included.

	Actual 2012	Projected 2013	Projected 2014	Projected 2015	Projected 2016
	---------------	---------------	---------------	---------------	---------------
Beginning Uncommitted Fund Balance	$ 4,343,721	$ 464,651	$ 3,063	$ -	$ -
Beginning Reserve Commitments:					
Operational Needs for first four months	$ 4,000,000	$ 7,051,744	$ 7,794,702	$ 7,700,000	$ 7,700,000
Transfers Out to Special Purpose Funds	$ 300,000	$ 2,020,000	$ 450,000	$ (32,018)	$ (75,671)
Election Costs, LID, LCFA	$ -	$ -	$ -	$ -	$ -
	---------------	---------------	---------------	---------------	---------------
Beginning Fund & Reserve Commitments:	$ 8,643,721	$ 9,536,395	$ 8,247,765	$ 7,667,982	$ 7,624,329
New Revenue:					
Total Tax Revenue (property)	$18,197,859	$18,886,201	$19,030,000	$19,374,738	$ 19,723,681
Major Timber Revenue (private & public)	$ 1,637,323	$ 1,596,591	$ 1,350,000	$ 1,520,000	$ 1,540,000
Intergovernmental (City Contracts)	$ 150,636	$ 86,198	$ 109,417	$ 108,323	$ 107,240
Charges and Services (printing & copies)	$ 40,026	$ 42,601	$ 42,605	$ 42,610	$ 42,614
Fines and Fees	$ 348,908	$ 350,269	$ 322,000	$ 315,560	$ 309,249
Other (Loss/Damage, Interest, Excise)	$ 307,757	$ 353,958	$ 739,445	$ 750,536	$ 765,547
	---------------	---------------	---------------	---------------	---------------
Total New Revenue:	$20,682,507	$21,315,818	$21,593,467	$22,111,767	$ 22,488,330
Expenditures:					
Personnel (No assumption regarding negotiations is inlcuded)					
Base Wage & Salaries	$10,308,739	$10,570,631	$10,953,514	$11,351,310	$ 11,705,585
Steps	$ 99,098	$ 101,758	$ 126,848	$ 124,864	$ 117,056
COLA (based on historical averages)	$ 108,316	$ 165,686	$ 158,559	$ 113,513	$ 117,056
Additional hours, ExHrs, SubHrs	$ 90,020	$ 70,450	$ 70,000	$ 70,000	$ 70,000
Sunday Pay		$ -	$ -	$ -	$ -
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Subtotal	$10,606,173	$10,908,525	$11,308,921	$11,659,688	$ 12,009,696
Benefits					
Medical (increase based on historical averages)	$ 1,542,720	$ 1,651,369	$ 1,787,268	$ 1,876,631	$ 1,970,463
Dental, Vision, Life, EAP, etc.	$ 244,588	$ 225,355	$ 243,323	$ 250,623	$ 258,141
PERS	$ 756,013	$ 900,119	$ 1,023,949	$ 1,034,188	$ 1,023,847
Other (FICA, L&I)	$ 904,211	$ 852,147	$ 936,422	$ 954,928	$ 987,197
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Subtotal	$ 3,447,532	$ 3,628,990	$ 3,990,962	$ 4,116,371	$ 4,239,648
	---------------	---------------	---------------	---------------	---------------
Total Personnel Expenditures:	$14,053,705	$14,537,515	$15,299,883	$15,776,059	$ 16,249,344

Timberland Regional Library
Projected Cash Flow Summary For the Years 2012-2016
December 18, 2013

Please note that these are estimates based on historical averages. Any assumption regarding negotiations is not included.

	Actual 2012	Projected 2013	Projected 2014	Projected 2015	Projected 2016
	---------------	---------------	---------------	---------------	---------------
Operating Expenditures					
Books and Materials	$ 3,087,572	$ 3,375,935	$ 3,440,935	$ 3,440,935	$ 3,440,935
Maintenance & Operation	$ 280,345	$ 207,665	$ 311,623	$ 295,000	$ 280,000
Supplies	$ 316,347	$ 329,247	$ 448,239	$ 390,000	$ 385,000
Professional Services:					
Youth Programming	$ 27,300	$ 39,300	$ 48,000	$ 48,000	$ 48,000
Adult Programming	$ 54,000	$ 58,000	$ 49,000	$ 49,000	$ 49,000
Other	$ 545,756	$ 591,278	$ 541,518	$ 546,933	$ 552,403
Communications	$ 443,340	$ 615,595	$ 531,500	$ 536,815	$ 542,183
Other (Utilities, Insurance, Rentals)	$ 306,029	$ 467,820	$ 604,472	$ 634,696	$ 666,430
Capital Expenditures-Non Book					
Courier Vehicles	$ 90,808	$ 27,579	$ 56,000	$ 60,000	$ 30,000
Passenger Vehicles	$ -	$ -	$ -	$ -	$ 25,000
Equipment Replace	$ 99,408	$ 143,259	$ 104,574	$ 150,000	$ 150,000
Computer Equipment	$ 185,221	$ 191,254	$ 287,505	$ 260,000	$ 250,000
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Total Operating Expenditures:	$ 19,489,831	$ 20,584,448	$ 21,723,250	$ 22,187,438	$ 22,668,295
Transfers Out to Special Purpose Funds:	$ 300,000	$ 2,020,000	$ 450,000	$ (32,018)	$ (75,671)
Ending Fund Balance:	$ 9,536,395	$ 8,247,765	$ 7,667,982	$ 7,624,329	$ 7,520,035
Ending Reserve Commitments Next Year:					
Operational Needs for First Four Months	$ 7,051,744	$ 7,794,702	$ 7,700,000	$ 7,700,000	$ 7,700,000
Transfers Out to Special Purpose Funds	$ 2,020,000	$ 453,063	$ (32,018)	$ (75,671)	$ (179,965)
Election Costs, LID, LCFA	$ -	$ -	$ -	$ -	$ -
	---------------	---------------	---------------	---------------	---------------
Ending Reserve Commitments Next Year:	$ 9,071,744	$ 8,247,765	$ 7,667,982	$ 7,624,329	$ 7,520,035
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Ending Uncommitted Reserve Balance:	$ 464,651	$ 3,063	$ -	$ -	$ -
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BOARD OF TRUSTEES

POLICY

TITLE: FUND BALANCE MANAGEMENT		POLICY NUMBER: 008
EFFECTIVE DATE: 1/2013	ORIGINATED BY: BUSINESS OFFICE	SUPERSEDES POLICY NUMBER(S NEW POLICY
REVIEW DATE: 1/2016	AUTHORIZED BY: BOARD OF TRUSTEES	

1. Purpose: To provide direction on fund balance management for the orderly and efficient management and control of Timberland Regional Library's (TRL) operations.

2. Scope: This policy applies to financial reporting requirements related to budget review and adoption each year.

3. Definitions:

   a. General Operating Fund: This fund is used to carry out TRL's normal operation and maintenance activities.

   b. Building and Site Acquisition and Improvement Fund (Building Fund): This special purpose fund is used to accumulate financial resources restricted to the payment for building, maintaining and/or remodeling of TRL-owned library facilities, and to aid in the design and/or planning of city-owned TRL facilities.

   c. Automated Circulation Fund: This special purpose fund is used to accumulate financial resources restricted to the payment for purchase and implementation of TRL's automated circulation system; library materials inventory control system, major purchases of computer equipment, and major purchases of telecommunications equipment.

   d. Unemployment Fund: This special purpose fund is used to accumulate resources restricted to the payment for unemployment compensation benefits coverage in a self-insurance plan administered by the Washington State Department of Labor and Industries.

   e. Assigned Fund Balance: Amounts TRL intends to use for a specific purpose.

   f. Unassigned Fund Balance: Amounts available for any purpose; these amounts are available only in the General Operating Fund.

a. It shall be TRL's policy to accumulate financial resources for potential future uses in the special purpose funds: Building Site Acquisition and Improvement Fund, Automated Circulation Fund, and Unemployment Fund. Consequently the assigned fund balance in each shall have no minimum balance requirement.

b. It shall be TRL's policy to transfer the unassigned beginning fund balance to TRL's special purpose funds as part of the annual budget process.

c. If General Operating Fund reserves are depleted so that a minimum beginning fund balance is not possible, a plan for restoration shall be developed for the Board of Trustees' approval in order to restore the balance over time. The restoration plan may include such recommendations as expenditure adjustments, fee adjustments, and/or transfers from the special purpose funds into the General Operating Fund as may be appropriate.

2. Citation: GASB 54.

3. By the enactment of this policy the Board of Trustees for the Timberland Regional Library concurrently rescinds any prior policy within the Library that is either in conflict with or expansive of the matters addressed in this policy.

Approved by the Board of Trustees.

______________________________________ ____________________

President, Board of Trustees

TIMBERLAND REGIONAL LIBRARY
BOARD OF TRUSTEES POLICY

Timberland Regional LIBRARY	TITLE: STRUCTURALLY BALANCED BUDGET POLICY	POLICY NUMBER: SUPERCEDES POLICY
EFFECTIVE DATE: 10/29/2013	REVIEW DATE: 10/29/2016	ORIGINATED BY: Business Office AUTHORIZED BY: Board of Trustees

1. Purpose: To provide direction for achieving and maintaining structural balance where recurring revenues are equal to recurring expenditures in the adopted budget.

2. Scope: This policy applies to financial reporting requirements related to budget review and adoption each year.

3. Definitions:

   General Operating Fund: This fund is used to carry out TRL's normal operation and maintenance activities.

   Sustainability: Meeting the needs of the present without compromising the ability of future generations to meet their own needs.

   Recurring revenues: Recurring revenues are the portion of TRL's revenues that can reasonably be expected to continue year to year, with some degree of predictability.

   Recurring expenditures: Recurring expenditures should be those that you expect to fund every year in order to maintain current/status quo service levels.

   Reserves: Reserves are the portion of fund balance that is set aside as hedge against risk.

4. Background: A budget that is structurally balanced will support sustainability for multiple years into the future and clarify that a specific decision, or set of decisions, can be considered sustainable. There is a distinction between satisfying the statutory definition of a balanced budget and a true structurally balanced budget.

5. Policy:

   a. It shall be Timberland Regional Library's policy for structural balance of the General Operating Fund budget, where recurring revenues equal or exceed recurring expenditures in the adopted Final Budget.

   b. It shall be TRL's policy to identify how recurring revenues are aligned with, or not aligned with, recurring expenditures through the budget presentation.

   c. It shall be TRL's policy when true structural balance is not possible to use reserves to balance the budget but only in support of a plan to return to structural balance, replenish fund balance, and ultimately remediate the negative impacts of any other short-term

a. balancing actions that may be taken. The plan will be clear about the time period over which returning to structural balance, replenishing reserves, and remediating the negative impacts of balancing actions are to occur.

b. Ending General Fund balance must meet minimum Fund Balance Management policy requirements.

2. Citation: Fund Balance Management Policy.

3. By the enactment of this policy the Board of Trustees for the Timberland Regional Library concurrently rescinds any prior policy within the Library that is either in conflict with or expansive of the matters addressed in this policy.

Approved by the Board of Trustees.

_______________________________________ ___________________

President, Board of Trustees Date

Timberland Regional Library
Recurring Revenues and Recurring Expenditure Alignment
2014 General Fund Final Budget
December 18, 2013

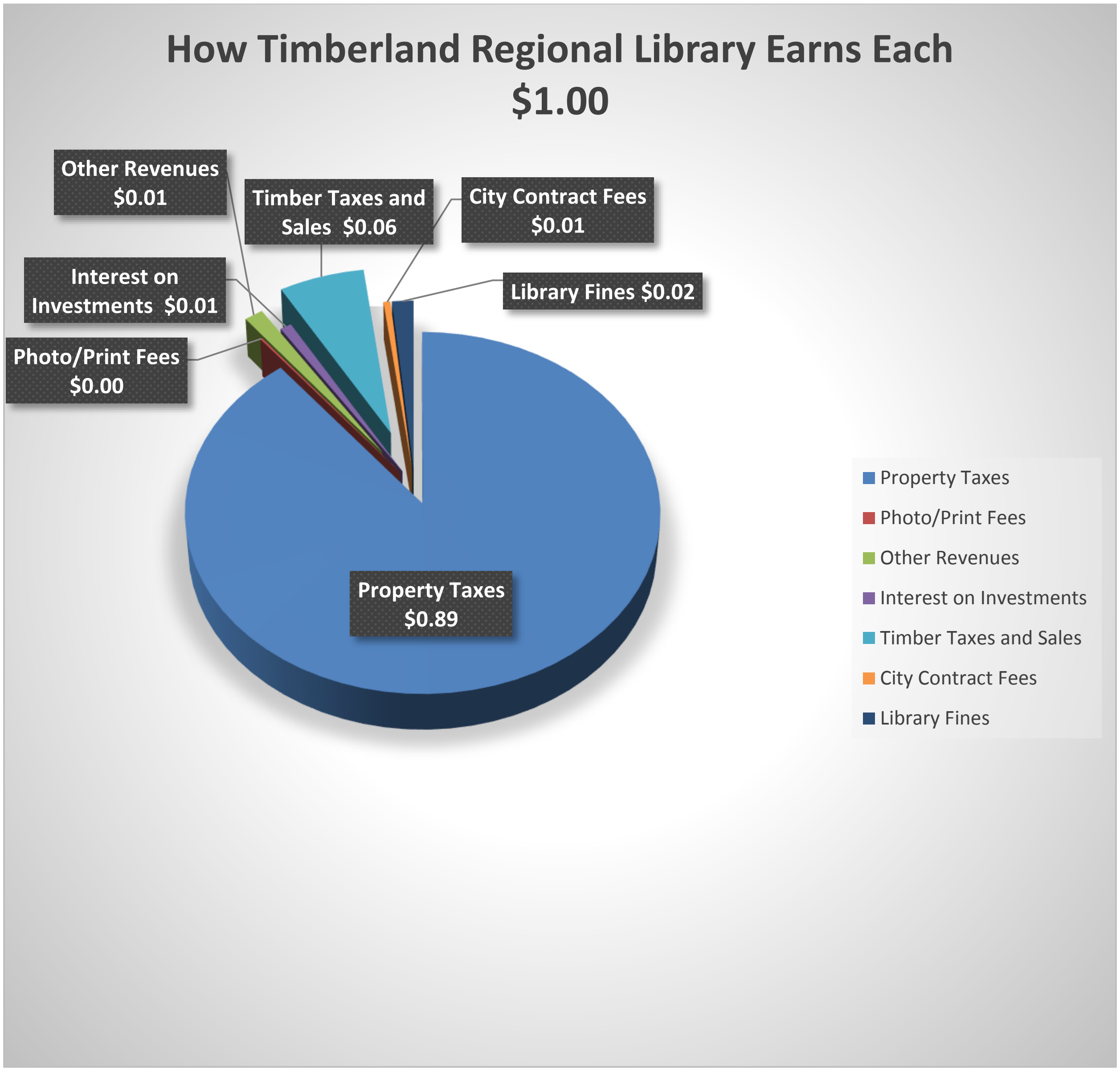
Total 2014 Revenues	**Recurring Revenue**	**One-Time Revenues**
$21,593,467	$21,323,467	$270,000 (e-Rate 2013)
Total 2014 Expenditures	**Recurring Expenditures**	**One-Time Expenditures**
$21,723,250	$21,663,250	$10,000 (Van Wrap) $45,000 (Library cards, every two years) $5,000 (Library card design contest)
General Fund Balance		
($129,783)	**($339,783)**	**$210,000**

TIMBERLAND REGIONAL LIBRARY

General Fund - 2014 Estimated Revenues

Final - December 18, 2013

General Fund 657.00		Actual 2011	Actual 2012	Budget 2013	In(De)crease Budget '13	<Final> Budget '14
308.00	Estimated Beginning Fund Balance	0	0	0	0	0
311.10	Property Taxes	17,645,273	18,197,859	18,900,000	130,000	19,030,000
311.30	Sale of Tax Title Property	4,745	0	0	0	0
312.10	Timber Harvest Tax	602,342	759,963	379,500	160,500	540,000
317.20	Leasehold Excise Tax	46,308	43,346	41,500	0	41,500
333.45	Indirect Federal Grants - Cont Ed.	1,500	1,500	2,250	250	2,500
333.84	Indirect Federal Grants - Work Study	7,180	9,816	8,000	(500)	7,500
333.84	Indirect Grants - Other	0	18,110	0	0	0
335.23	State Forest Land	291,769	281,471	305,000	(155,000)	150,000
337.01	In Lieu of Taxes	11,770	23,798	9,750	(250)	9,500
338.72	City Contract Fees	321,346	150,636	102,236	7,181	109,417
341.60	Photocopy Fees	23,540	23,635	21,200	1,300	22,500
341.69	Printing Fees	4,376	7,431	8,500	1,500	10,000
341.70	Sale of Merchandise	7,518	1,067	1,000	700	1,700
347.20	Non-Resident Fees	7,522	7,004	6,200	(400)	5,800
347.90	Other Fees	592	890	800	250	1,050
359.70	Library Fines	351,589	348,908	335,000	(13,000)	322,000
361.15	Interest on Investments	83,789	72,698	57,500	(12,500)	45,000
361.90	Forest Board Interest	1,036	1,198	700	10,300	11,000
362.51	Forest Board Rentals	19,324	5,362	8,500	33,500	42,000
362.90	Other Rents	318	6,182	0	0	0
367.00	Contributions	3,825	3,846	5,000	0	5,000
369.81	Cashier's Overages and (Shortages)	(227)	381	0	0	0
369.90	Other Miscellaneous Revenue	9,969	8,819	9,000	3,000	12,000
369.91	Sale of Junk or Salvage	28,988	43,852	30,000	(19,000)	11,000
389.00	Other Non-Revenue	4,087	222,136	220,000	270,000	490,000
395.11	Timber Sales/State Forest Board	577,082	506,399	540,000	(60,000)	480,000
395.12	Timber Sales/County	208,858	89,490	120,000	60,000	180,000
395.30	Comp. for Loss of Fixed Assets	69,483	68,848	64,000	0	64,000
	Total Receipts	20,333,900	20,904,643	21,175,636	417,831	21,593,467
	Estimated Beginning Fund Balance	0	0	0	0	0
	Total Revenue and Fund Bal.	20,333,900	20,904,643	21,175,636	417,831	21,593,467

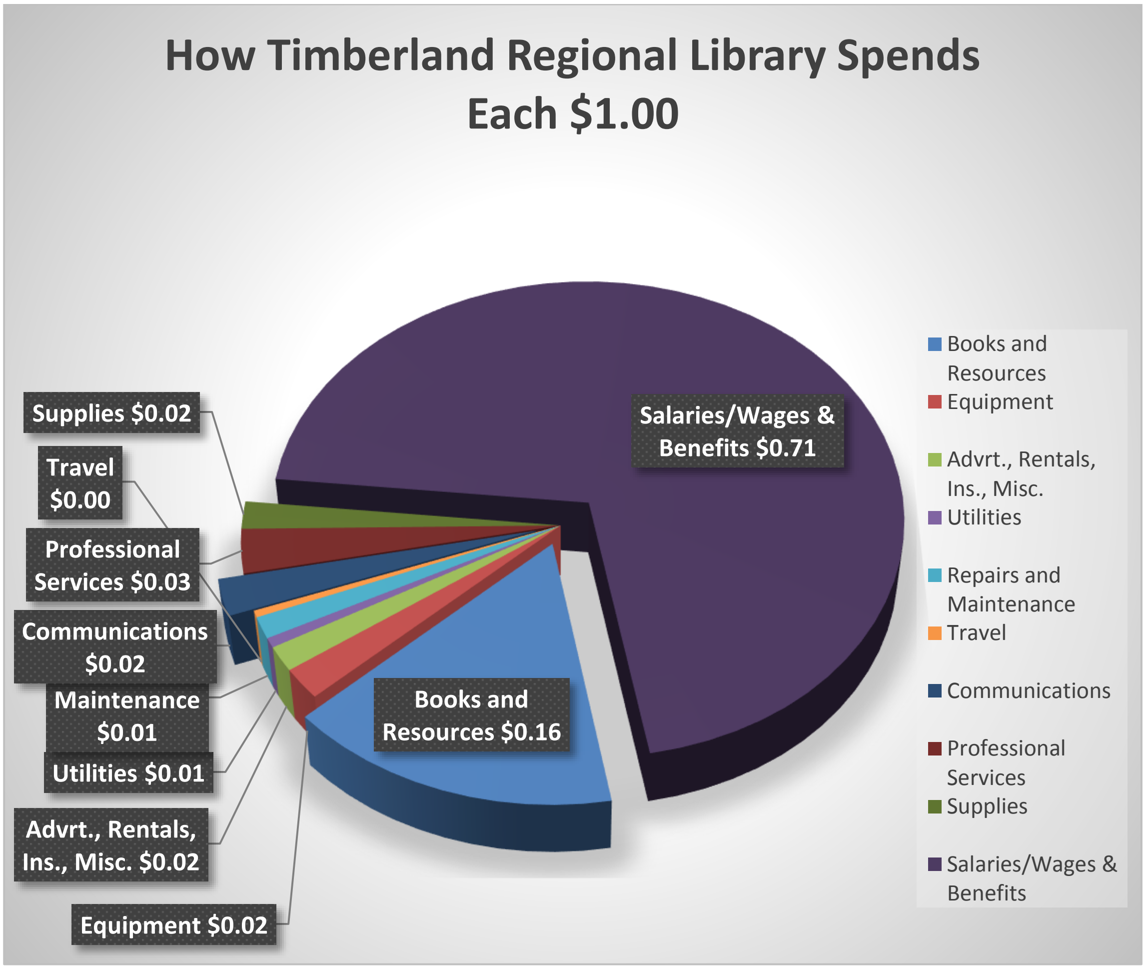

How Timberland Regional Library Earns Each $1.00
Other Revenues $0.01
Timber Taxes and Sales $0.06
City Contract Fees $0.01
Interest on Investments $0.01
Library Fines $0.02
Photo/Print Fees $0.00
Property Taxes $0.89
Property Taxes
Photo/Print Fees
Other Revenues
Interest on Investments
Timber Taxes and Sales
City Contract Fees
Library Fines

TIMBERLAND REGIONAL LIBRARY

General Fund - 2014 Estimated Expenditures

Final - December 18, 2013

General Fund 657.00		Actual 2011	Actual 2012	Budget 2013	In(De)crease Budget '13	<Final> Budget '14
572.XX.00	Reclassification and Cost Allocation	0	0	0	0	0
0.10	Salaries & Wages	10,507,184	10,606,173	11,142,138	166,783	11,308,921
0.20	Personnel Benefits	3,222,143	3,447,533	3,706,512	284,450	3,990,962
0.30	Supplies	343,482	316,347	455,812	(7,573)	448,239
	Other Services and Charges:					
0.41	Professional Services	557,346	627,056	657,952	(19,434)	638,518
0.42	Communications	268,244	443,340	532,225	(725)	531,500
0.43	Travel	86,609	84,491	85,351	12,774	98,125
0.44	Advertising	26,298	19,527	28,000	(500)	27,500
0.45	Operating Rentals	259,559	104,137	99,078	2,896	101,974
0.46	Insurance	77,036	70,137	81,205	4,872	86,077
0.47	Utilities	126,133	134,789	143,200	(4,700)	138,500
0.48	Repairs and Maintenance	293,980	280,345	373,136	(61,513)	311,623
0.49	Miscellaneous	175,094	113,989	148,441	2,655	151,096
0.40	Total Other Services and Charges	$1,870,297	$1,877,812	$2,148,588	($63,674)	$2,084,914
0.50	Inter-Governmental	1,248	1,095	1,000	200	1,200
0.60	Capital Expenditures - Non Book	473,344	375,437	384,860	63,219	448,079
	- Books and Materials	2,742,527	3,087,572	3,375,935	65,000	3,440,935
	Total	19,160,225	19,711,969	21,214,846	508,404	21,723,250
507.XX.00	Transfer Out	776,509	300,000	2,020,000	(1,570,000)	450,000
397.XX.00	Transfer In	0	0	0	0	0
589.XX.00	Other Non-Expenditures	45,351	0	0	0	0
Estimated Ending Fund Balance (Use of Reserve)		351,815	892,674	(2,059,210)	1,479,427	(579,783)
Total Expenditures & Fund Balance		20,333,900	20,904,643	21,175,636	417,831	21,593,467


How Timberland Regional Library Spends Each $1.00
Salaries/Wages & Benefits $0.71
Books and Resources $0.16
Supplies $0.02
Travel $0.00
Professional Services $0.03
Communications $0.02
Maintenance $0.01
Utilities $0.01
Advrt., Rentals, Ins., Misc. $0.02
Equipment $0.02
Books and Resources
Equipment
Advrt., Rentals, Ins., Misc.
Utilities
Repairs and Maintenance
Travel
Communications
Professional Services
Supplies
Salaries/Wages & Benefits

TIMBERLAND REGIONAL LIBRARY

2014 Building Fund - Estimated Resources & Expenditures

Preliminary Final Budget - November 20, 2013

2014 Estimated Resources:

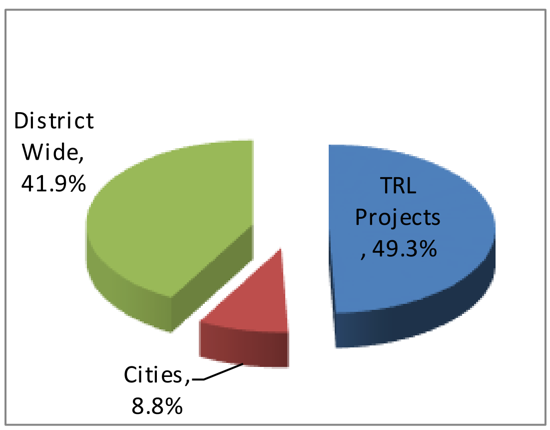
6,000	Investment Interest
400,000	Operating Transfers-In
184,000	Cash Reserves Descrease
590,000	Total Building Fund Resources

2014 Estimated Expenditures:

25,000	ADA Projects
20,000	Engery Efficiency
12,000	General Bookdrop
15,000	Signage
79,500	Amanda Park
19,000	Hoodsport
8,000	Hoquiam
35,000	Montesano
27,000	Morton
2,500	Mountain View
18,000	Naselle
1,500	North Mason
30,500	Oakville
35,000	Ocean Park
17,000	Olympia
70,000	Service Center
175,000	Contingency
590,000	

2014 Projects:

291,000	Projects Timberland Owned Buildings
52,000	Projects with Cities
247,000	Proj - District Wide (for TRL & City Bldgs)
590,000	



TIMBERLAND REGIONAL LIBRARY

2014 Automated Circulation Fund - Estimated Resources & Expenditures

Preliminary Final Budget - November 20, 2013

2014 Estimated Resources:

3,600	Investment Interest
40,000	Operating Transfers-In
152,881	Cash Reserves Descrease
196,481	**Total Automated Circulation Resources**

2014 Estimated Expenditures:

	Capital Expenditures - TRL:
136,957	Hardware
32,014	Software
6,565	CALs For Staff
20,945	CALs For Public
196,481	
196,481	**Total Auto Circulation Fund Uses**

Revenues/Expenditures/Fund Balance

REVENUES/EXPENDITURES/FUND BALANCE

The 2014 budget was developed on the broad assumption that 90% of all resources would derive from property tax revenues and that those taxes would remain stable and supplemented by an authorized levy increase of 1% in addition to new construction and a conservative estimate for Major Timber Revenues.

31x. Taxes

	2014 Budget	% of Budget	2013 Projected Actual
Property Taxes	$19,030,000	88.13%	$18,886,201
Timber Harvest Tax	$540,000	2.5%	$687,893
Leasehold Excise Tax	$41,500	.2%	$45,491
Total Taxes 31x.	$19,611,500	90.82%	$19,620,020

General property taxes are considered ad valorem taxes levied on an assessed valuation of real and personal property. General property taxes make up 90.82% of total 2014 projected revenues, the detail for this category is provided in the table above. Real and Personal Property Taxes are the major line item for this category contributing 88% of all Library resources. Stable revenues contribute to a determined level for spending and the more dependable the projected revenue the less spending will be subject to unpredictable fluctuations.

Local property taxes remain at a constant level, contributing to a stable, anticipated spending level.

Budget Year	Local Taxes % of Budget
2014	90.82%
2013	91.2%
2012	91.52%
2011	88.79%
2010	91.3%
2009	92.28%
2008	89.83%
2007	89.63%
2006	89.89%

Property Taxes

Property taxes are anticipated to increase $130,000 in the 2014 Budget from the 2013 Budget. The city of Morton annexed into Timberland Regional Library November 2012. The first year of collection for the city is 2014. In addition, the City of Hoquiam will continue to pay the installments on a 10-year agreement for 2012 intergovernmental services. Actual calculated increases projected as follows:

Existing Property Tax Receipts 1% Increase	$121,429
New Construction Values for 2013 Collection	$174,197
City of Morton Addition	$40,000
Total 2014 Variance from 2013 Property Taxes	$335,626

The city of Morton's tax base will, from this point forward, be part of the Library's regular property tax limit. This factor, coupled with the continued expectation for property values to remain flat, frames the anticipation of future new resources at minimal levels.

A recent history of the Library tax base shows that the assessed valuation for TRL in decline for the three previous consecutive years resulting in a loss of over $6 million in assess valuation for the TRL. This year assessed values have only dipped slightly with final certification due in December.

New construction values vary year to year depending on property improvements generated by construction which include new homes, apartments or large commercial developments. For every $1,000 of new construction the Library may levy at its current levy rate (41.5¢ for 2013 collection). State law does not apply the 1% limit for revenues received from new construction and, because the limit does not apply, new construction is an important factor to examine when predicting future resources.

For Year	New Construction	Resource Generated	% of Budget
2014	$419,751,271	$174,197	.81%
2013	$428,495,399	$182,740	.87%
2012	$498,085,025	$177,756	.88%
2011	$540,669,841	$183,254	.93%
2010	$822,979,589	$270,925	1.44%
2009	$1,505,735,153	$514,208	2.73%
2008	$1,648,071,114	$643,077	3.59%
2007	$1,018,860,271	$436,581	2.46%
2006	$836,044,089	$378,658	2.32%
2005	$975,497,564	$458,191	2.81%
2004	$645,914,400	$310,814	2.0%

The levy rate of assessment, or millage rate, is based on Timberland Regional Library's assessed property value. The statutory limit is $0.50 per $1,000 of assessed valuation. Recent mill rates are trending upward; an inverse relationship to TRL's overall assessed valuation.

For Year	Mill Rate (In cents)
2014	41.569
2013	41.5
2012	38.3
2011	35.688
2010	33.894
2009	32.92
2008	34.15
2007	39.02
2006	42.85

Since 2009 the millage rate is estimated to increase by 8.649 cents, leaving 8.431 cents as available capacity before reaching the statutory limit. If the 50 cent limit is reached, available resources will be subject to the decrease in property values within its boundary and create a need to manage expenditures at a drastically reduced level. Keep in mind that if Timberland Regional Library is at its full taxing authority it will not be able to receive revenue from property taxes on new construction.

The September 2013 Department of Natural Resources Forecast stated that the "outlook for housing starts is optimistic" and "U.S. housing prices have climbed in the last year after six unprecedented year of falling and flat prices." From these comments it seems remote that TRL will continue to see the rise in its millage rate of the previous four years, and reach its statutory limit.

Timber Harvest Tax

Timber harvest tax represents county-levied tax on timber harvested from privately and publicly owned land. A more detailed examination of timber harvest tax will be included with Major Timber Revenues.

Leasehold Excise Tax

These are taxes on property owned by state or local governments and leased to private parties. Receipts were at a high of $77,788.27 in 2010 and a low of $39,850 in 2008. Leasehold excise taxes are projected to reach $45,491, or $3,991 above the estimated amount for 2013 receipts. For this reason the 2014 projection is conservatively estimated at the same level as 2013.

33X. Intergovernmental Revenues

	2014	% of Budget	2013 Projected Actual
Indirect Federal Grants	$10,000	.05%	$81,171
State Forest Land	$150,000	.69%	$139,190
In Lieu of Taxes	$9,500	.04%	$24,793
City Contract Fees	$109,417	.51%	$86,198
Total Intergovernmental	$278,917	1.29	$331,353

Intergovernmental revenues include grants, entitlements, shared revenues and payments for goods and services provided by one government to another (Please note that grants from private sources are included in account 367, contributions). Intergovernmental revenues represent a 1.29% source of funding for the 2014 budget.

State Forest Land

Represents counties' share of proceeds from leases and sales of products and timber from state forest lands managed by the Department of Natural Resources. A more detailed examination for state forest land resources will be included with Major Timber Revenues.

City Contract Fee

This account is used to record revenue derived from providing library services to contracting cities. Two cities continue to contract for library services, Winlock and Raymond. In addition, the city of Hoquiam will continue to make payment on the 10-year agreement for 2014 library services received.

34X. Charges for Goods and Services

	2014	% of Budget	2013 Projected Actual
Fees for Goods/Services	$41,050	.19%	$44,024

Charges for services rendered include photocopy fees, printing fees, non-resident fees and sale of goods.

Sale of Merchandise

This account includes the sale of TRL logo goods and various other vending supplies. .

Non-resident Fees

Timberland library cards are available to anyone living or owning property in the unincorporated areas of Timberland's 5-county service area: Grays Harbor, Lewis, Mason, Pacific, and Thurston. In addition, anyone living or owning property in cities in the 5-county area that are annexed to or contract with Timberland for library service. This includes all cities except: Mossyrock, Napavine, Ocean Shores, Pe Ell, and Vader. Residents of non-contracting, non-annexed cities or towns in the TRL service area, or residents of areas not covered by a reciprocal borrowing agreement, may purchase non-resident cards. Non-resident cards are issued for each individual within a household, but only one fee is charged per household.

The City of Toledo voted to annex into Timberland Regional Library on November 5, 2013 and residents are now eligible for library cards. Non-resident revenue is reduced by 6% with consideration for the effect of the City of Toledo annexation vote.

35X. Non-court Fines, Forfeitures, and Penalties

	2014	% of Budget	2013 Projected Actual
Library Fines	$322,000	1.49%	$350,269

Library Fines

Starting on October 1, 2009, Timberland began charging fines for overdue items. Overdue fines encourage patrons to return library items by the due date, making them available sooner to other patrons and reducing the amount Timberland has to spend for additional copies of popular items. Overdue fines help support ongoing library services as well.

All materials returned after the due dates are considered late and subject to fines. The daily fine for any item, whether book, DVD or other physical item is $.15. There are no fines associated with e-books as they are automatically deleted from the customer's device at the end of the loan period.

The level of collection for library fines has been stable since the start date, representing an acceptable charge for holding materials past the due date. In July 2010, patrons were offered an opportunity to pay fines online using their credit/debit cards making the patron experience for managing fines even more fluent.

36X. Miscellaneous Revenues

	2014	% of Budget	2013 Projected Actual
Miscellaneous Revenue	$126,000	.58%	$132,148

Interest on Investments

The Library uses the Thurston County Treasurer's Office as its fiscal agent. Investment of surplus cash is made with the Thurston County Investment Pool. The Pool's yield for October 2013 is .62%, compared to the Local Government Investment Pool's yield of .12%.

The estimated return on investment was reduced by 22% due to anticipated low investment earnings.

Other Miscellaneous Revenue

Timberland uses a collection agency for library accounts that have fines and fees of $50 or more for 30 days. If a patron's account is sent to the collection agency a non-refundable collection agency fee of $10 is assessed. If a patron's account accrues $10 or more in fines or fees the patron is no longer able to check out items.

Collection agency fee receipts in 2008 were $20,035 and the estimate for 2014 is $12,000. The reduction is due to patrons managing their accounts closer, the impact from fines, and the increase in electronic content.

Sale of Junk of Salvage

The Library sends surplus books to an online vendor which then sells materials on Amazon.com and a portion of the proceeds are received by the Library. Surplus equipment is sent to the Washington State Surplus Store where proceeds are received by the Library if sales exceed a certain amount. Surplus vehicles are sold via auction. Revenue from sale of surplus materials fluctuates and is budgeted accordingly.

38X. Non-revenues

	2014	% of Budget	2013 Projected Actual
Non-revenues	$490,000	2.27%	$76,103

Other Non-revenue

This account is used to identify non-revenue receipts which are not included elsewhere. A change in accounting method was instituted in 2013 for the receipt of federal E-rate telecommunications discount rebates. E-rate rebate payments are received directly from the vendor and not posted as a credit on the invoice, as had been past practice. This change was initiated to help in matching the year of application for E-rate rebates to the year of receipt for more consistent measurement.

39X. Other Financing Sources

	2014	% of Budget	2013 Projected Actual
Timber Sales – State/County	$660,000	3.05%	$769,507
Compensation for Loss of Fixed Assets	$64,000	.3%	$68,495
Total Other Financing Sources	$724,000	3.35%	$838,003

Timber Sales/State Forest Board and Timber Sales/County

This account is used for the proceeds from timber sales owned by the municipality. A more detailed examination of timber harvest tax will be included with major timber revenues.

Compensation for Loss of Fixed Assets

This account is used to record proceeds from lost or damaged materials. Replacements costs are charged for items that are 28 days overdue. Damage fees are charged for items that are damaged while checked out. Staff inspect items for damage when they are returned so that a patron will not be charged for damage that occurred before the item is checked out. Estimates for this category continue to remain constant with fines and e-content mitigating growth.

Major Timber Revenues

Major timber revenues apply to the excise tax on timber harvested from any private or public lands within Timberland Regional Library. A five percent timber excise tax is collected from the timber harvester and paid to the Washington State Department of Revenue.

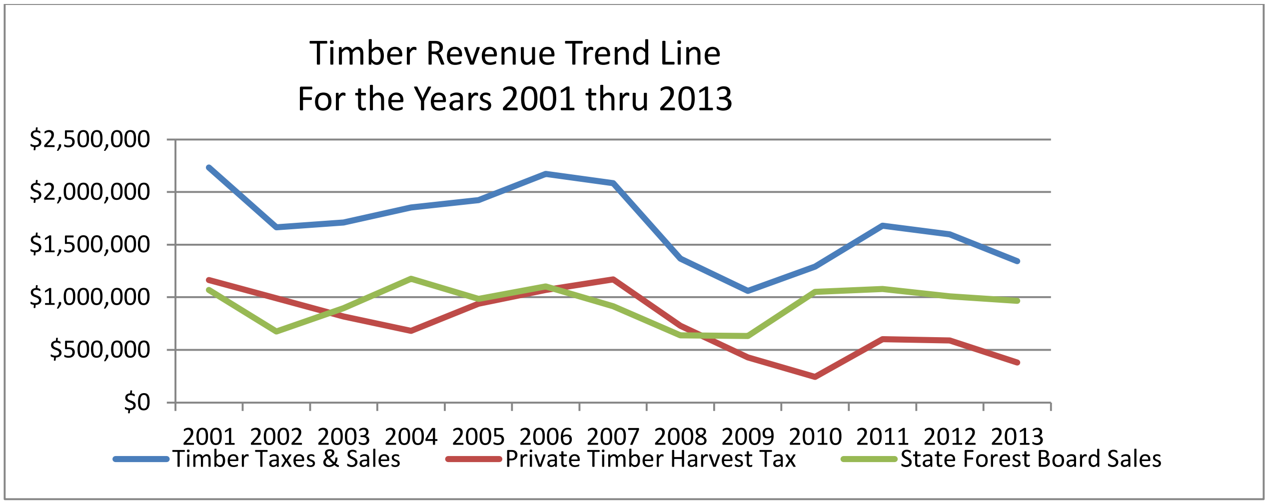
Timber tax is composed of a four percent county tax and a one percent state tax. The county portion is distributed back to the county where the timber was harvested and helps fund capital projects, voter-approved bonds, school maintenance and operations, county roads, libraries and fire districts. Timberland Regional Library is becoming more and more dependent on Major Timber Revenues for support of its operations.

2014 Major Timber Revenue is estimated to be $1,350,000, which is 6.25% of the 2014 budget. 2013 resources are projected to be $1,596,591, or 7.46% of actual 2013 receipts. The other years represented are actual amounts.

For Year	Major Timber Revenues	% of Budget
2014 estimate	$1,350,000	6.25%
2013 estimate	$1,596,591	7.46%
2012	$1,680,220	8.0%
2011	$1,680,051	8.3%
2010	$1,292,122	6.6%
2009	$1,059,399	5.7%
2008	$1,368,286	7.5%
2007	$2,085,185	11.5%
2006	$2,173,950	12.4%

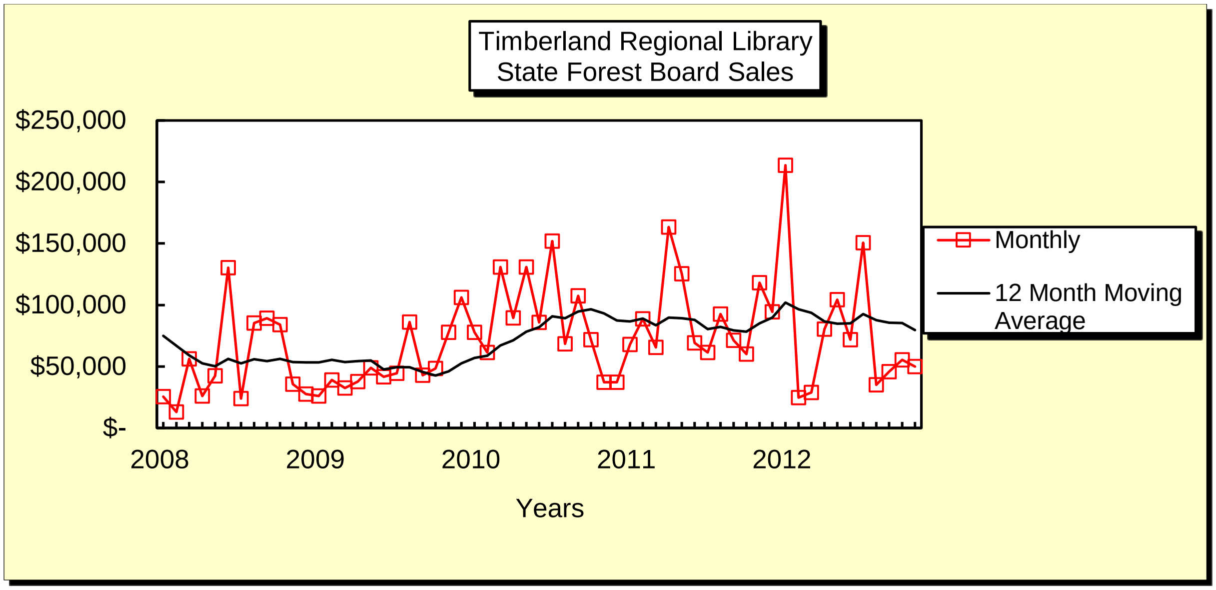
When estimating 2013 Major Timber Revenue, consideration was given to the unpredictability of the source. Also considered was the degree of risk to the Library's financial outlook for an incorrect estimate, in other words if Timber revenue is received at amounts greater than expected they help fund long-term planning, a low risk. But if received at amounts lower than expected the impact could affect the Library's ability to deliver services, a high risk.

According to the Washington State Department of Natural Resource Economic and Revenue Forecast for September 2013, forecast timber revenue is revised downward 4% due to the drop in timber sales prices and moderate changes to the timing for timber removals. With this in mind, it was determined to estimate 2014 Major Timber Revenues at amounts that can be relied upon.



Major Timber Revenues fluctuate greatly, but a predictable minimum base can be determined as the 2009 receipt of $1,059,000; it is reasonable to anticipate that total 2014 receipts will not go lower. The standard deviation for timber receipts from 2001 to 2013 is $370,000. The standard deviation added to the predictable minimum base of $1,059,000, adjusted for an anticipated downward DNR forecast of 4%, is a result utilized to estimate 2014 Major Timber Revenue at $1,350,000.

	Timber Taxes & Sales	Private Timber Harvest Tax	State Forest Board Sales	Ratio Priv/State
2001 Timber Taxes & Sales	2,233,215.30	1,163,946.10	1,069,269.20	1.09
2002 Timber Taxes & Sales	1,664,621.74	990,260.01	674,361.73	1.47
2003 Timber Taxes & Sales	1,712,084.01	816,400.65	895,683.36	0.91
2004 Timber Taxes & Sales	1,855,237.39	679,612.15	1,175,625.24	0.58
2005 Timber Taxes & Sales	1,923,854.50	938,343.14	985,511.36	0.95
2006 Timber Taxes & Sales	2,173,950.12	1,070,343.00	1,103,607.12	0.97
2007 Timber Taxes & Sales	2,085,185.38	1,169,502.42	915,682.96	1.28
2008 Timber Taxes & Sales	1,368,285.84	728,866.01	639,419.83	1.14
2009 Timber Taxes & Sales	1,059,398.90	427,726.14	631,672.76	0.68
2010 Timber Taxes & Sales	1,292,122.03	118,649.69	796,574.04	0.15
2011 Timber Taxes & Sales	1,680,050.78	602,343.23	1,077,708.55	0.56
2012 Timber Taxes & Sales	1,680,220.00	722,927.69	957,292.31	0.76
2013 Timber Taxes & Sales	1,344,500.00	379,500.00	965,000.00	0.39



Summary of Expenditures and Expenditure Assumptions

	2014	% of Budget	2013 Projected Actual
Personnel	$15,299,883	70.43%	$14,537,515
Supplies	$448,239	2.06%	$329,247
Other Services & Charges	$2,084,914	9.60%	$2,044,945
Books and Materials	$3,440,935	15.84%	$3,375,935
Capital Expenditures, Non-book	$448,079	2.06%	$362,093
Total	$21,723,250		$20,574,449

The budget is made up of five major areas of operating expenditure, two categories deserve detail examination. In past years the Library applied the goal of 16% of revenues to budget for Materials (books, CDs, DVDs, and electronic resources). Also, personnel costs have remained consistent over the last few years despite the upward inflationary pressures from benefit costs and salary adjustments.

Allocation of Budgeted Costs (2014-2007):

	2014	2013	2012	2011	2010	2009	2008	2007
Personnel	70.43%	69.99%	70.78%	70.74%	72.12%	72.74%	71.23%	70.33%
Materials	15.84%	15.9%	15.28%	13.74%	14.05%	13.69%	14.69%	15.21%

Personnel costs

Personnel costs account for nearly 70% of anticipated expenditures and pay for staffing the Library to meet its mission and operating goals. The change for 2014 from the 2013 budget is an increase of $437,723, or 2.95%.

The Library budgets at full-employment where each position is considered funded for the full-year at its current step and grade. There is no consideration given for the realities of retirements, resignations, terminations, the amount of time it takes to fill vacancies, or re-hiring at lower steps.

2014 Estimated Personnel Detail:

	2014 Budget	2013 Budget	% Change
Salaries and Wages	11,238,303.45	11,093,701.88	1.3%
Extra Hours/Substitutes	70,618.03	48,436.52	45.8%
Industrial Insurance	73,144.47	73,217.47	-.09%
Medical Insurance	1,787,267.98	1,647,941.27	8.45%
FICA	863,278.43	850,566.27	1.50%
PERS	1,023,949.02	898,445.16	13.96%
Dental Insurance	189,154.92	182,836.56	3.5%
Other Benefits	54,167.28	53,505.60	1.2%
Total	15,299,883.58	14,848,650.73	3.04%

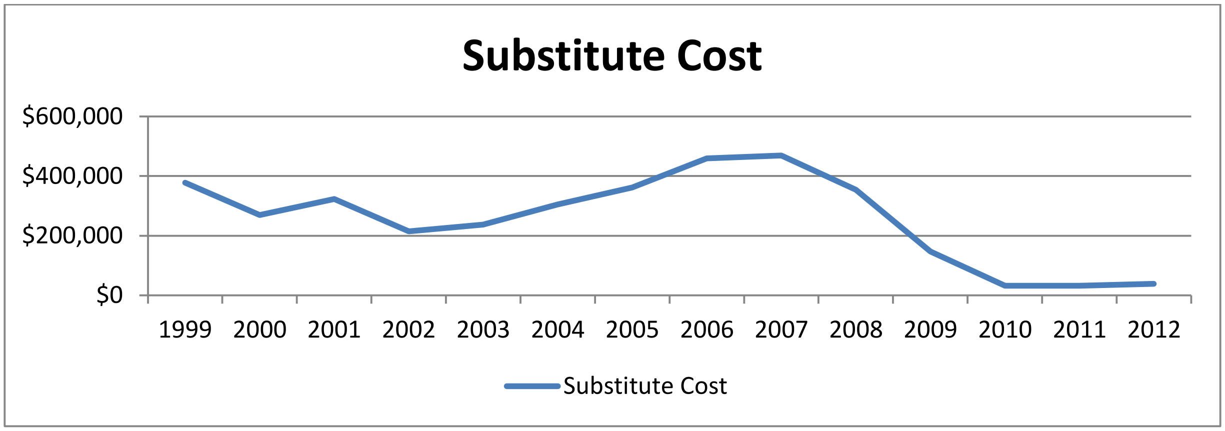
The total change for salaries and benefits from the previous budget year of 2013 is 3.04%, or $451,232.85.

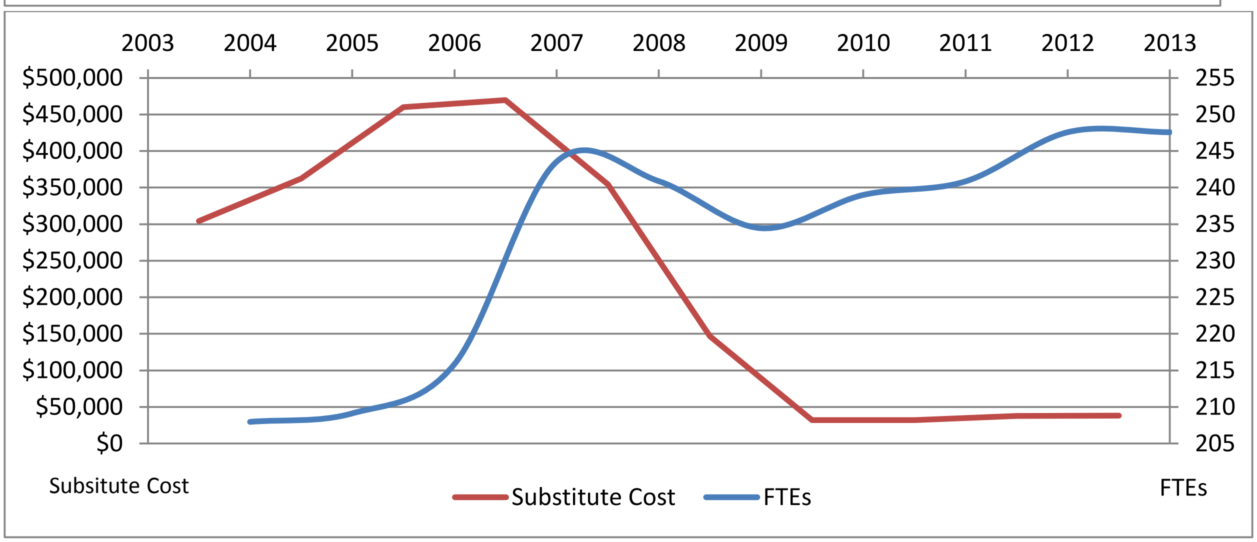
Salaries and Wages

Staffing includes all full and part-time personnel located in all locations

Extra Hours/Substitute

Extra/Substitute cost is a factor based on past year averages meant to capture the use of extra hours and substitutes to fill vacant FTEs.





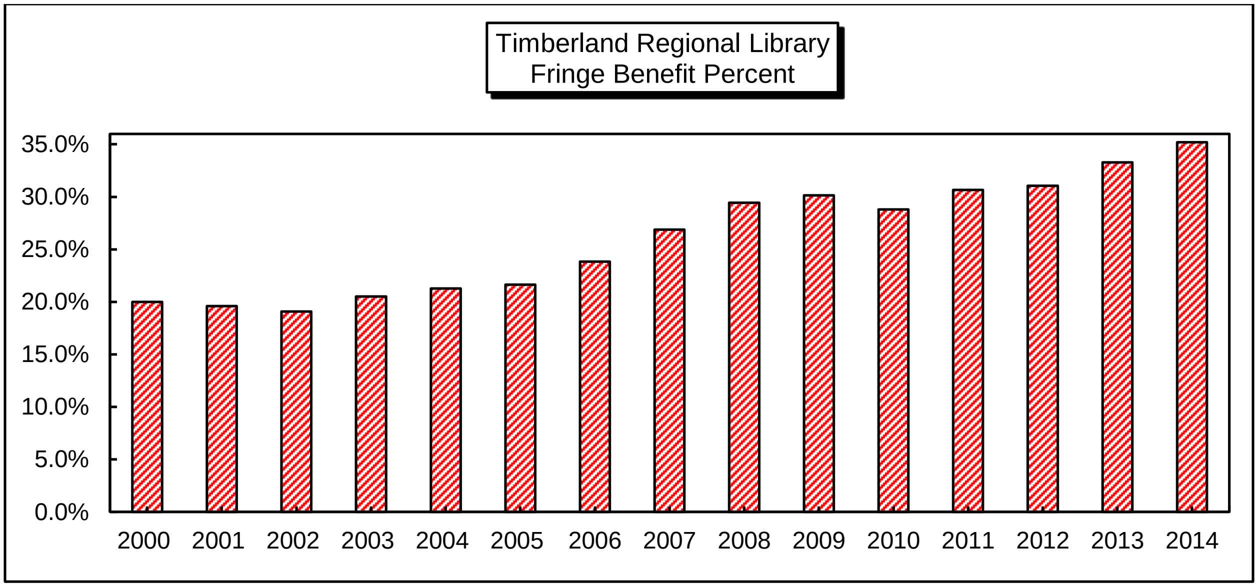
Benefits

Benefits as a category include medical and dental costs, retirement, payroll taxes, vision, basic life insurance, long-term disability, and an employee assistance program.

The Legislature passed retirement rates for 2014. The Library will budget at the Pension Funding Council proposal of 9.21%. Contribution rates for the last few years have been as follows:

Sept 2013 – Dec 2014	9.21%
July 2013 - Aug 2013	9.19%
July 2012 - June 2013	7.21%
July 2011 - June 2012	7.21%
July 2010 - June 2011	5.31%

The increase from 7.21% to 9.21% for PERS contributions has resulted in an additional $125,503 to the 2014 budget for estimated personnel costs.



The 2014 benefit margin is projected to be 35.3%, an increase from the 2013 margin of 33.3%.

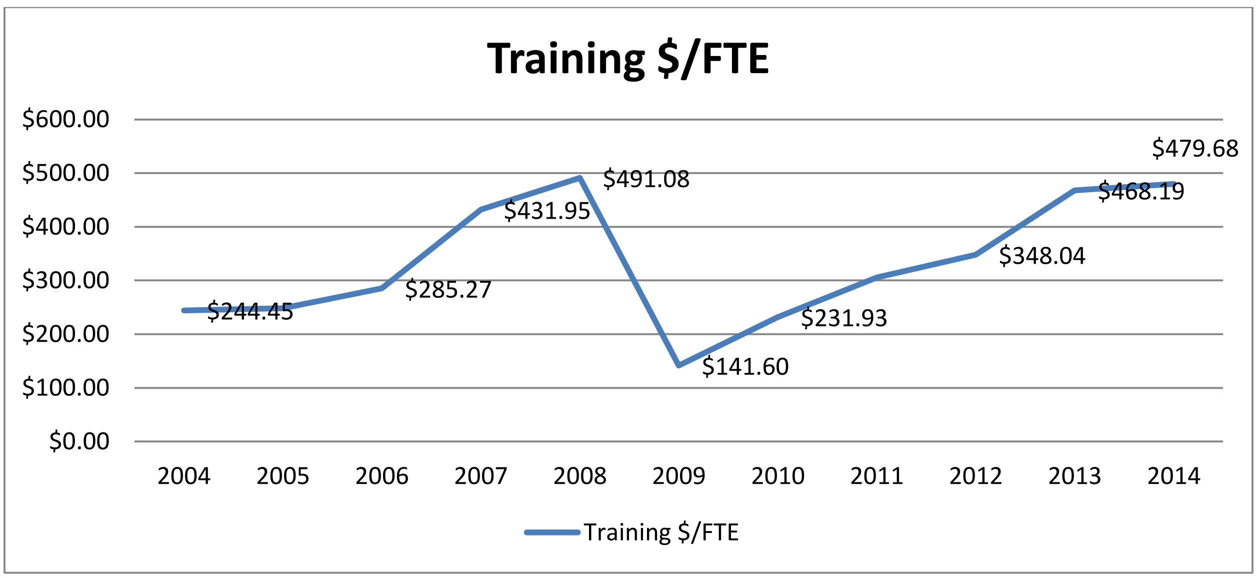
Supplies

This category represents articles and commodities purchased for consumption by the various departments or as part of public services. It also includes fuel for the courier vehicles and small tools utilized by the Facilities department. The 2014 estimate includes the bi-annual purchase of library card stock.

Other Services and Charges

This category is meant to capture the other various aspects to operations including professional services, communications, travel, advertising, operating rentals, insurance, utilities, repairs and maintenance and miscellaneous. The 2014 estimate for this category is a decrease of 2.95% from the 2013 estimate. Communications will not include the rebate for E-rate telecommunications discount; the $270,000 anticipated rebate will be shown on the revenue side of the financial statements and not the expenditure side.

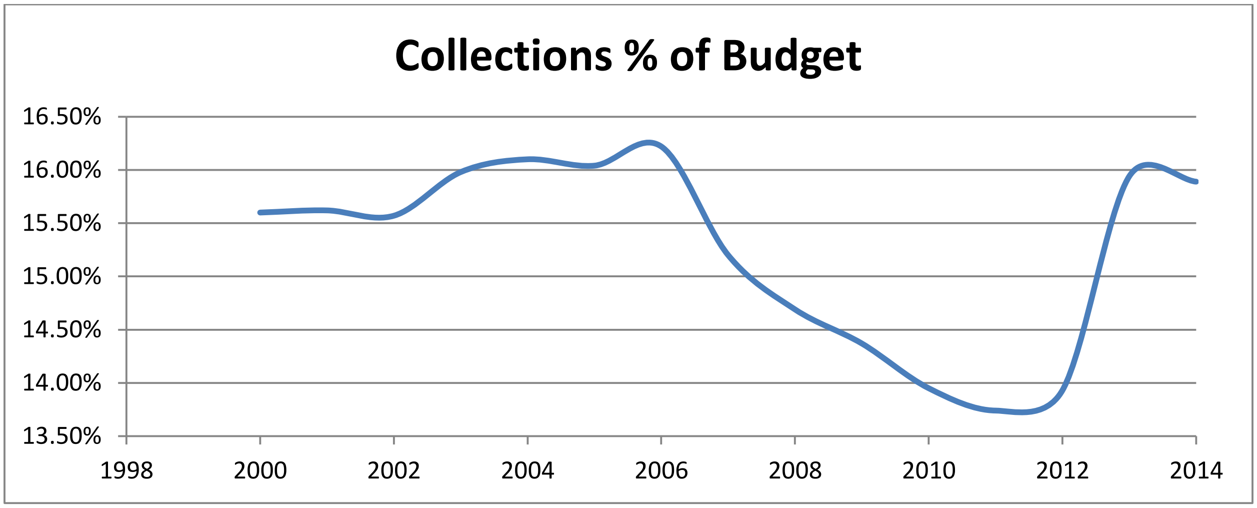
The element for training is set to remain consistent with last year's budget as staff development is one of the 2014 budget priorities.



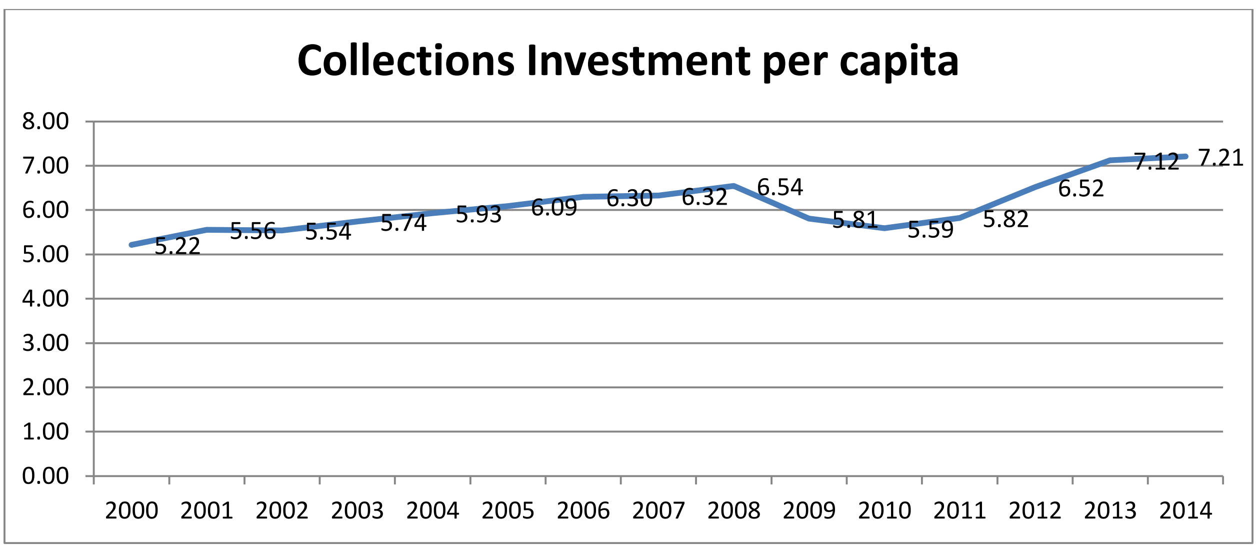
Books and Materials

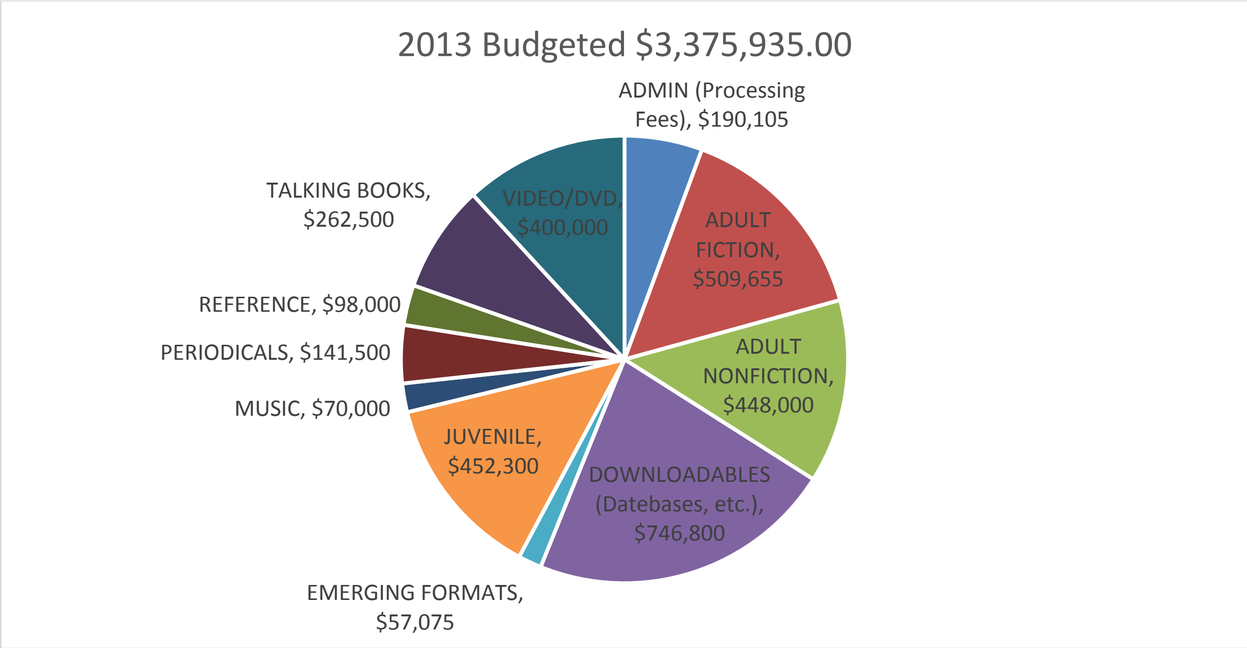
Collection materials include purchases of materials for use by the public. It includes print material, machine readable material, audio-visual material, other materials, and processing charges. Books and materials will be 15.84% of the 2014 budget.

In the past, 16% was the target for collections which will include additional variations such as leased materials and pre-loaded Nooks. Processing charges remains at a total estimate of $135,000; downloadables is at $713,800: 21.1% of the overall materials budget: and 1.8%, or $61,330, was set aside for emerging formats.



Collections investment per capita has steadily risen over the last four years.





Tenino Entry Sign

Carved by local stonemason Keith Phillips using sandstone from the Tenino sandstone quarry

SUMMARY OF GENERAL FUND BALANCE

Past practice has held that, by default, all sources of unexpended revenues not held for special purpose, such as those related to grants, are released into the General Fund at year-end unless the Board takes action to identify and approve use of fund balance to support the special purpose funds, or the funds restricted for specific purposes such as the Building Fund and Auto-circulation Fund.

The General Fund balance is a key tool for managing the Library's cash flow. Should the General Fund balance get too low, not enough funds are available to pay for the first four or five months of each year (until tax collections are received), requiring the Library to borrow from other sources through Board action.

In 2009, the Government Finance Officers Association (GFOA) released an updated policy statement on cash reserves (Fund Balance). GFOA recommends a Fund Reserve policy to address one or more of the following 5 factors:

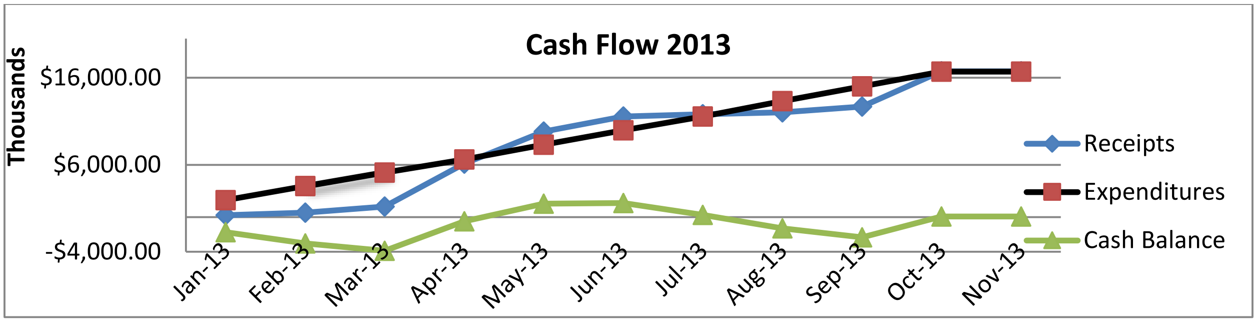
1. Predictability of revenues and the volatility of expenditures – higher fund levels may be needed if there are unpredictable fluctuations in revenues, or expenditures are volatile.
2. Perceived exposure to significant one-time outlays (e.g., disasters, state budget cuts, immediate capital outlay needs).
3. Potential drain upon general fund resources from other funds. In other words, deficits in other funds may require that a higher level of fund balance be maintained.
4. Liquidity, or the disparity between when financial resources become available to make payments and the average maturity of related liabilities, may require a higher level for fund balance.
5. Commitments and assignments for a specific purpose may require higher than normal levels.

Beginning Fund Balance

The 2014 General Fund balance is estimated to be at $8.247 million. The actual amount will not be known until the year-end report is issued.

Minimum Beginning Assigned Fund Balance (Reserve Commitments)

It is Timberland Regional Library's policy to provide a minimum beginning assigned fund balance of twice the maximum monthly deficit of the preceding year.



Timberland Regional Library						
CASH FLOW		**2013**				
Month		Receipts		Expenditures		Cash Balance
Jan-13		199,394.61		1,932,835.53		(1,733,440.92)
Feb-13		506,082.58		3,550,816.37		(3,044,733.79)
Mar-13		1,207,754.21		5,105,105.25		(3,897,351.04)
Apr-13		6,121,734.03		6,601,146.90		(479,412.87)
May-13		9,816,804.09		8,302,515.61		1,514,288.48
Jun-13		11,551,192.74		9,962,830.81		1,588,361.93
Jul-13		11,794,439.74		11,563,881.25		230,558.49
Aug-13		12,034,564.94		13,332,402.97		(1,297,838.03)
Sep-13		12,680,736.54		15,009,045.48		(2,328,308.94)
Oct-13		16,746,442.41		16,691,596.47		54,845.94
Nov-13		16,746,442.41		16,691,596.47		54,845.94
Dec-13		16,746,442.41		16,691,596.47		54,845.94

Formula $3,897,351 x 2 = $7,794,702 (Minimum Beginning Assigned Fund Balance)

The Library calculates that approximately $7.794 million will be needed for cash flow to operate until the large influx of tax revenues come in late April. As revenues are received through December, this reserve is restored and becomes available for the following year.

Transfers to Special Purpose Funds

The amount to be transferred to the special purpose funds, Building Fund, Automated Circulation Fund, and Unemployment Fund, will be the difference between ending fund balance and the minimum beginning assigned fund balance. The appropriate level of funding for the special purpose funds shall be determined by assignment.

Operating Transfers by Year

	Operating	Building	Auto-circ	Unemployment
2000	$850,000	$600,000	$250,000	
2001	$1,599,600	$1,100,400	$499,200	
2002	$990,000	$610,000	$370,000	$10,000
2003	$645,000	$255,000	$370,000	$20,000
2004	$410,000	$74,000	$321,000	$15,000
2005	$550,000	$121,000	$321,000	$108,000
2006	$590,000	$264,000	$321,000	$5,000
2007	$900,000	$450,000	$450,000	
2008				
2009	*No Transfers Determined for These Years*			
2010				
2011	$776,509	$509,509	$250,000	$17,000
2012	$300,000	$250,000	$24,000	$26,000
2013	$2,020,000	$1,700,000	$300,000	$20,000
2014	$450,000	$400,000	$40,000	$10,000
	$9,631,109	$5,933,909	$3,476,200	$221,000